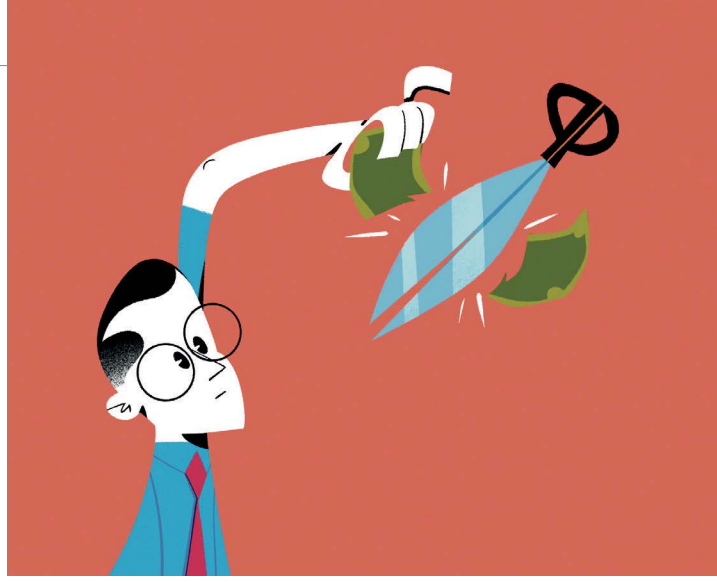
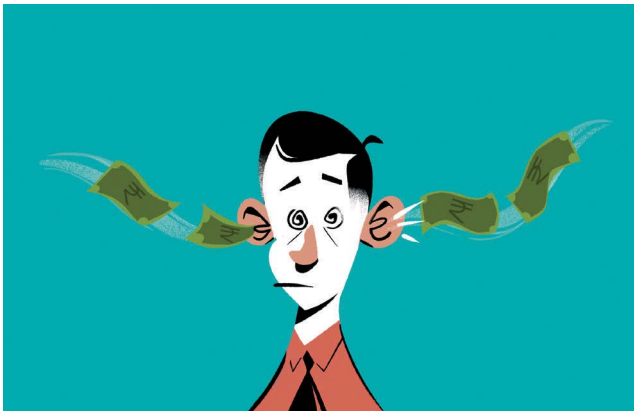


1 POST-TAX INCOME

The various components that go into arriving at the income of a salaried individual can be quite complex. Common phrases such as gross salary, CTC (cost to company) and take-home pay are often used interchangeably without understanding the difference between them and how they actually impact our finances. First, CTC is a way in which an employer or organisation accounts for the payments that it incurs when employing an individual. It has direct and indirect components and each of these has a different impact. The direct component includes basic salary, HRA (house rent allowance) and DA (dearness allowance).

The indirect contribution includes health insurance and any pension plan that one may be part of and then there is a mandatory contribution towards provident fund or pension plans. For salaried employees, the need is to understand their net take-home pay or post-tax income. The post-tax income is the money you are left to take home after paying taxes, which are deducted by your employer. These may also include certain payments towards provident fund, health insurance and pension. Simply put, this is the actual amount of pay that you get—the total income minus total taxes and is a true indicator of the cash available for spending.

There are many reasons to know your after-tax income as well. By knowing your after-tax income, you know exactly how much



2 CASH FLOW

Cash flow is a term mostly associated with business, but it is a critical element in personal finance. By understanding where your money is coming from and where it's going, you can do a lot with the rest. Cash flow refers to your income minus expenses over a set period and for most, this figure should be measured each month. You can determine cash flow by creating a budget—write down your monthly income, including sources of passive income if any, and then subtract all your expenses.

Instead of focusing on a single month, you should track your expenses for at least three months to have a more accurate picture of them. Get started with your bank statements and bills for a month or quarter. Once you have them, it is basic calculations under different heads under income and expenses to note where you are earning from and where you are spending. With the cash flow statement, you can work on ways to manage your spending, thereby increasing your savings and using it to invest.

Once you have your personal financial statement, you will be able to create a budget and set goals for increasing your net worth. You should ideally have a positive cash flow, which means income minus expenses should leave you with savings. But, there could be instances when you have a negative cash flow, where expenses exceed your income, which is not a healthy sign, but could be due to unexpected expenses. Often one forgets to budget for yearly expenses, such as insurance or annual new school sessions.

With positive cash flow each month, you can make smarter decisions for a secure financial future and even achieve early financial independence.

THUMB RULE

Use the 50-30-20 budgeting trick. You put 50% of your income towards necessities, such as rent or home loan, groceries, transportation and internet etc. The next 30% goes to your wants, which may include entertainment, clothes, eating out and travel with the remaining 20% towards savings and long-term investments. If you have a high income, you may have more savings which you could channelise towards savings and investments.